Economics

March 4, 2026

The Residential Outlook

Housing Forecast Update

Special Commentary

Economist(s)


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Housing affordability less adverse, but far from favorable. Relative stability in mortgage rates and home price appreciation, aligned with income growth, will allow affordability to improve. Returning to pre-pandemic affordability levels in the next two years is highly unlikely, however.

Housing affordability now a federal, state and local political concern. Recent federal initiatives aimed at boosting affordability align with new state and local policies with similar goals. The structural nature of the problem (supply/demand imbalance from underbuilding/demographics) and cyclical challenges (high interest rates, building cost inflation, labor/land availability) mean progress will be gradual.

Mortgage rates unlikely to fall much further. We expect quarterly average mortgage rates to hover in a range between 6.1% and 6.2% over the next two years, lower than recent peak rates but elevated enough to pressure affordability.

Home price appreciation picks up modestly. We forecast the median existing single-family price to rise 3.4% in 2026, stronger than 2025's pace but still below the long-run average. New home prices should stabilize after declining over the past several years.

Home sales poised for gradual improvement. Marginally improved affordability conditions and slightly better inventory availability will likely generate a modest lift to existing home sales. Builder incentive programs should continue to support new home sales as demand firms.

Supply remains limited. Easing lock-in effect and higher turnover may boost inventory modestly, though not enough to meet demand. New home inventories will gradually shrink as sales firm and production downshifts.

Single-family construction eases. Home builders will likely remain cautious on new production and continue to realign inventory with sales. Land and labor remain supply constraints.

Multifamily development transitions to growth. Apartment market conditions should firm as the supply wave dissipates and strained homeownership affordability supports rental demand. Lower financing costs and improved capital access will promote a stronger pace of new construction.

Home improvement market steadies. We expect lower interest rates, improved turnover, positive home price appreciation and elevated homeowner equity levels to support growth, with labor and building material inflation remaining limitations.

National Housing Outlook

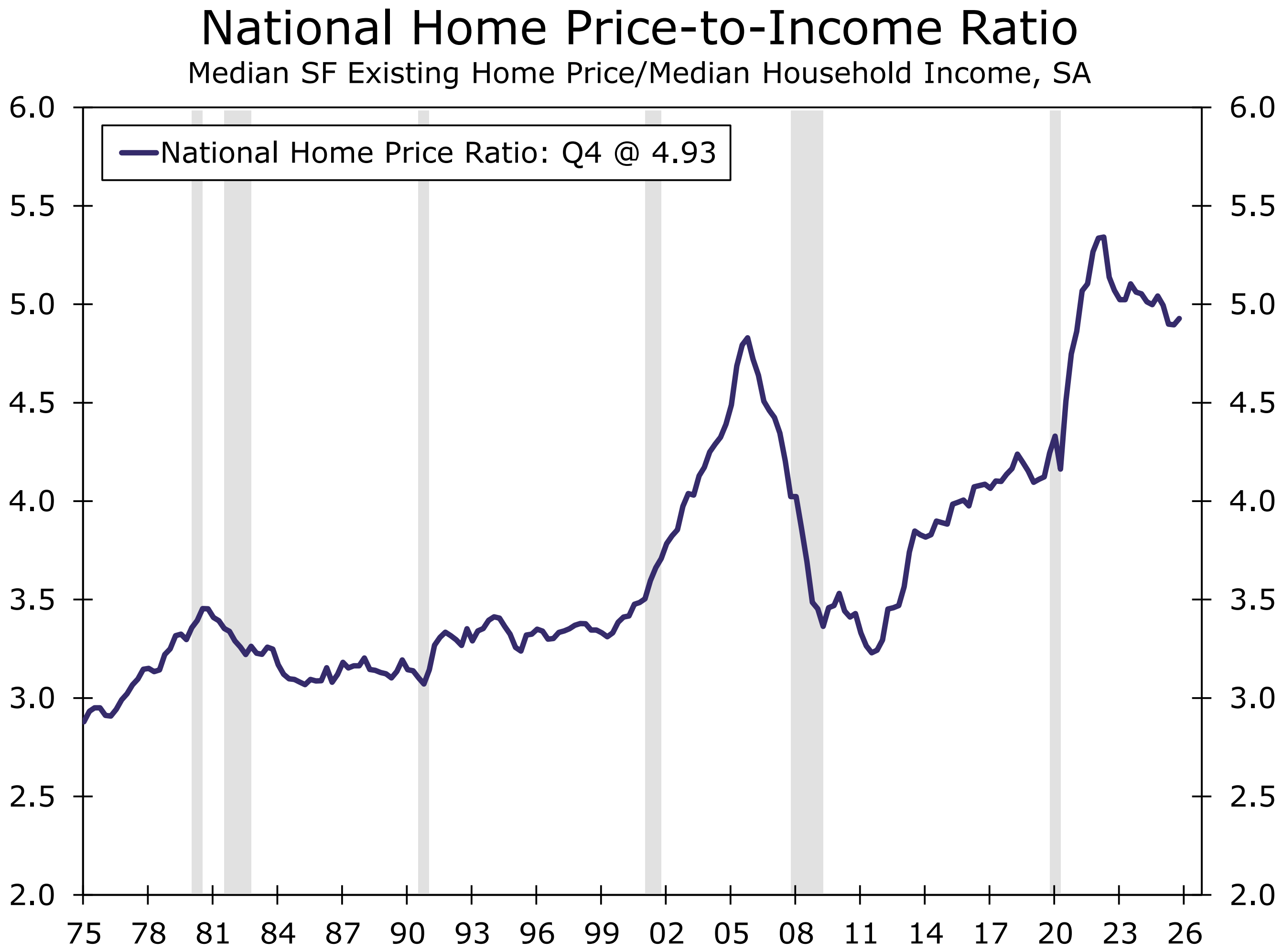
												Forecast	
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Real GDP, Percent Change	2.9	1.8	2.5	3.0	2.6	-2.1	6.2	2.5	2.9	2.8	2.2	2.7	2.3
Residential Investment, Percent Change	10.6	7.1	4.3	-0.7	-0.9	7.4	10.6	-8.1	-7.8	3.2	-2.2	-3.5	3.0
Nonfarm Payroll Change (Avg. Monthly)	226.1	194.3	176.3	190.5	165.4	-770.5	606	377	210	122	15	69	72
Unemployment Rate	5.3	4.9	4.4	3.9	3.7	8.1	5.4	3.7	3.6	4.0	4.3	4.4	4.2
Home Construction													
Total Housing Starts, in Thousands	1,111.9	1,173.7	1,202.9	1,250.0	1,289.9	1,379.6	1,601	1,553	1,420	1,367	1,359	1,330	1,380
Single-Family Starts, in Thousands	714.6	781.5	848.9	875.7	887.7	990.5	1,127	1,005	948	1,013	943	910	945
Multifamily Starts, in Thousands	397.3	392.2	354.0	374.3	402.2	389.1	474	548	472	354	416	420	435
Home Sales													
New & Existing Home Sales, in Thousands	5,751	6,011	6,123	5,957	6,022	6,461	6,891	5,667	4,753	4,748	4,741	4,921	5,134
New Home Sales, Single-Family, in Thousands	501	561	613	617	682	821	771	641	666	686	679	699	722
Total Existing Home Sales, in Thousands	5,250	5,450	5,510	5,340	5,340	5,640	6,120	5,026	4,087	4,062	4,062	4,223	4,411
Existing Single-Family Home Sales, in Thousands	4,646	4,838	4,892	4,742	4,765	5,066	5,413	4,480	3,659	3,671	3,689	3,837	4,009
Existing Condominium & Co-op Sales, in Thousands	608	614	619	601	579	578	707	546	428	391	373	386	402
Home Prices													
Median New Home, $ Thousands	294.2	307.8	323.1	326.4	321.5	330.9	383.5	434.5	428.6	420.3	412.8	414.8	425.2
Percent Change	2.0	4.6	5.0	1.0	-1.5	2.9	15.8	16.8	-1.4	-1.9	-1.8	0.5	2.5
Median Existing Single-Family Home, $ Thousands	223.9	235.5	248.8	261.6	274.6	300.2	357.1	392.8	394.1	412.5	419.3	433.6	449.6
Percent Change	7.2	5.2	5.6	5.1	5.0	9.3	19.0	10.0	0.3	4.7	1.6	3.4	3.7
S&P Case-Shiller National Home Price Index, Percent Change	4.5	5.1	5.8	5.8	3.4	6.0	17.1	14.8	2.5	5.1	2.3	3.6	4.2
Interest Rates - Annual Averages													
Federal Funds Target Rate	0.27	0.52	1.13	1.96	2.25	0.50	0.25	2.02	5.23	5.27	4.33	3.44	3.25
10-Year Treasury Note	2.14	1.84	2.33	2.91	2.14	0.89	1.45	2.95	3.96	4.21	4.29	4.18	4.29
Conventional 30-Year Fixed Rate, Commitment Rate	3.98	3.76	4.09	4.64	4.08	3.18	3.03	5.38	6.80	6.72	6.60	6.14	6.19

Forecast as of: March 3, 2026

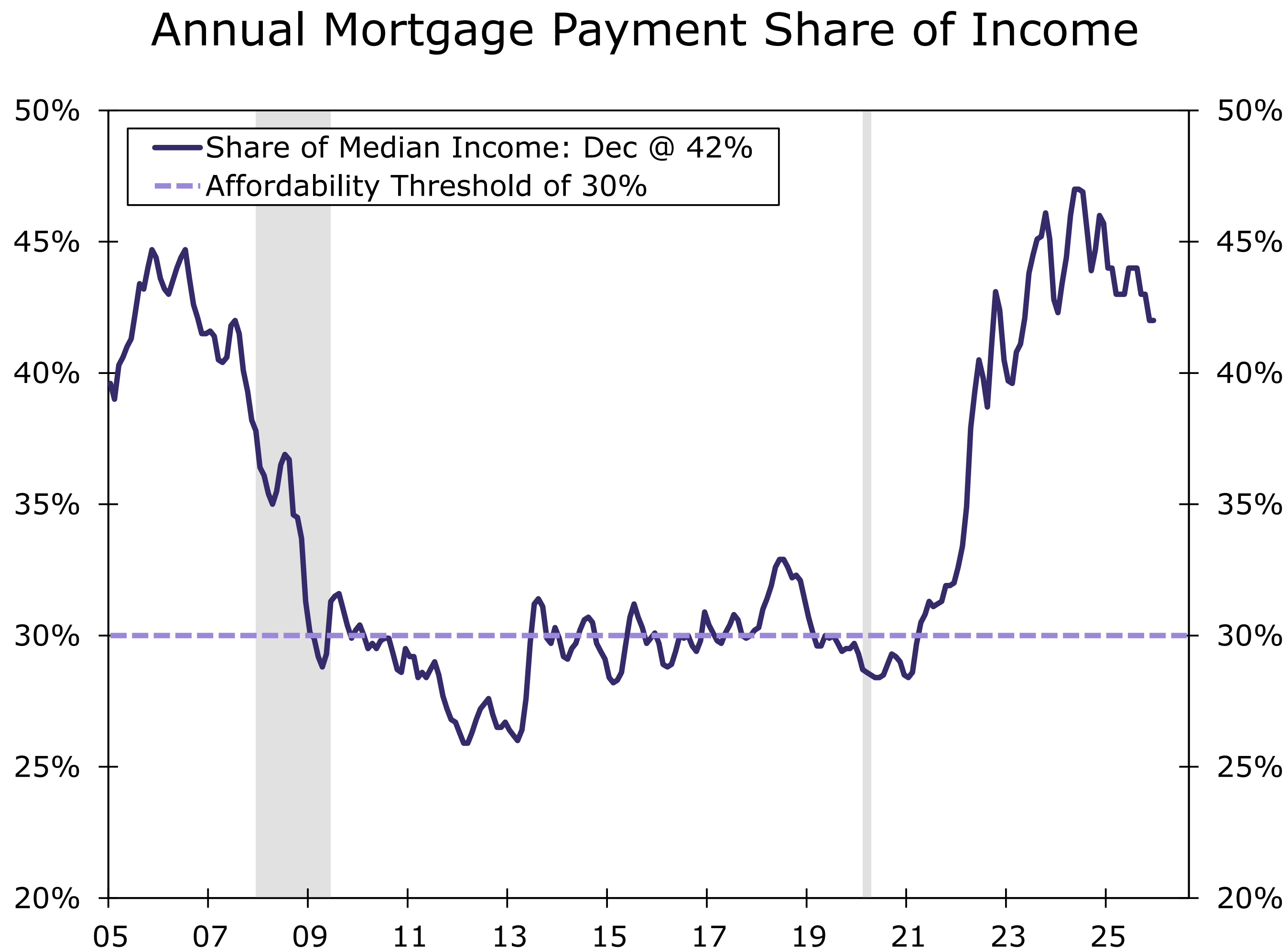
Source: U.S. Departments of Commerce and Labor, FRB, FHFA, FHLMC, National Association of Realtors, S&P and Wells Fargo Economics

Housing Affordability Measures

- Housing affordability remains stretched. The national home price-to-income ratio registered at approximately 5.0 in Q4 2025, well above pre-pandemic average of about 4.0 and higher than long-run historical averages.
- Similarly, the annual mortgage payment share of median income stands at 42%, well north of the 30% share typically deemed as within budget for the median home buyer.
- Zooming in, affordability has improved around the margins on account of lower mortgage rates, more moderate home price appreciation and sturdy income growth. That said, affordability conditions are far from favorable.



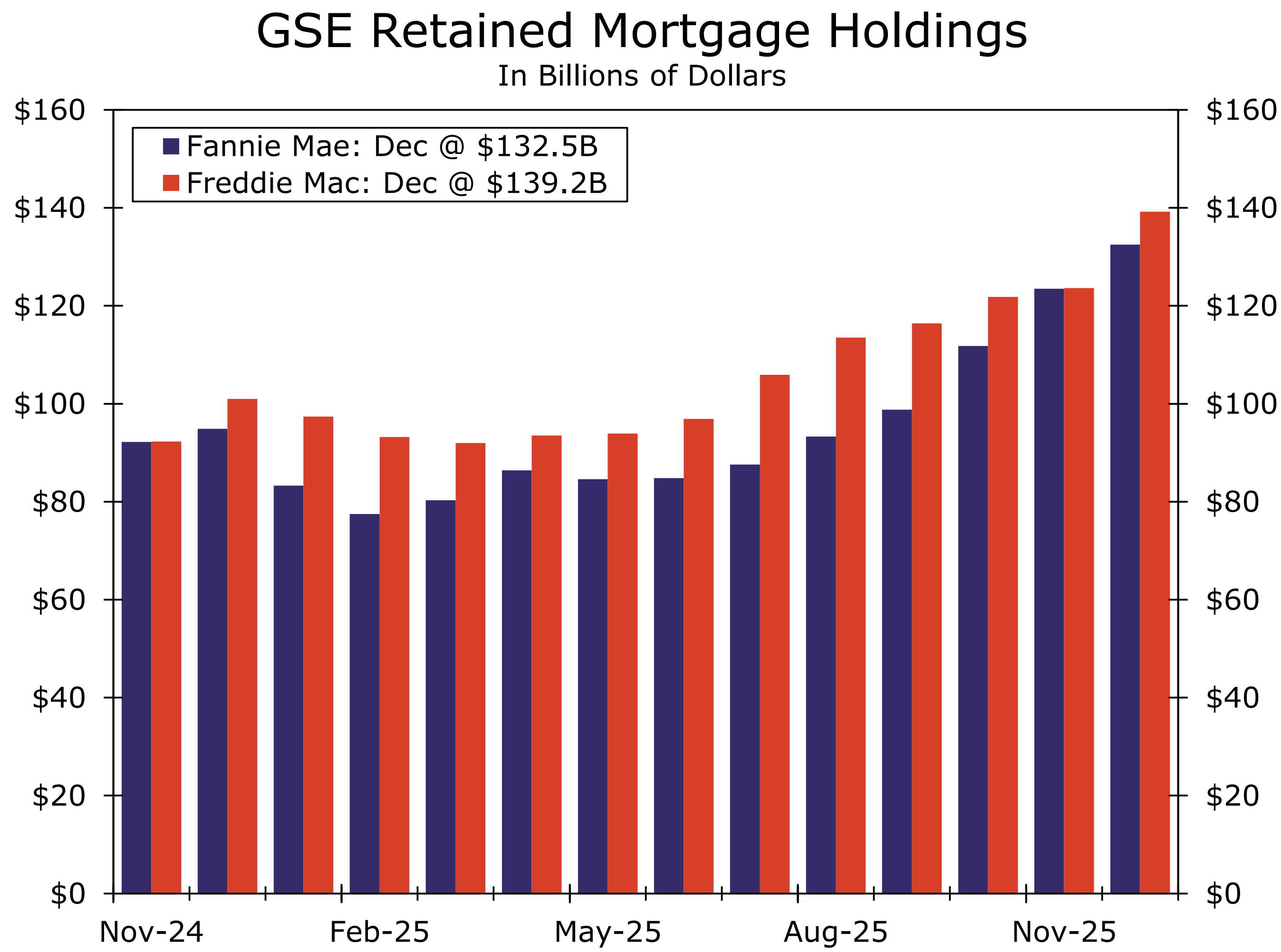
Source: NAR and Wells Fargo Economics



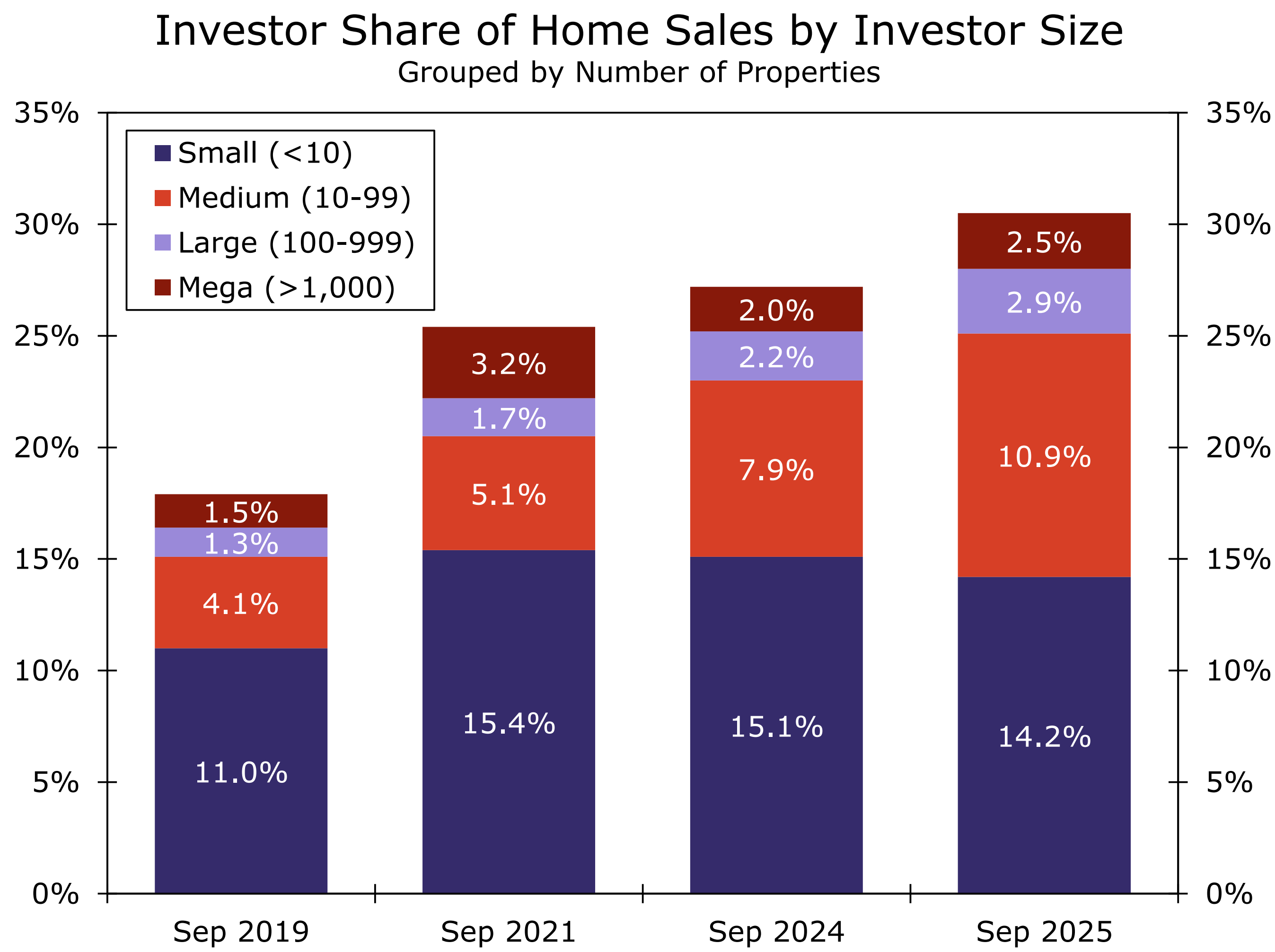
Source: Federal Reserve Bank of Atlanta and Wells Fargo Economics

Housing Policy

- The Trump administration has directed the GSEs to purchase $200 billion in mortgage bonds in order to tighten mortgage spreads and reduce mortgage rates. Even before January's announcement, Fannie Mae and Freddie Mac had already increased their retained mortgage portfolios throughout 2025.
- More details on the Trump administration's proposed action on institutional home purchases have come to light. Official guidance is still forthcoming, but in a memo sent to Congress, the administration defined "institutional" as firms that own 100 or more properties. This segment accounted for 5.4% of total home sales in late 2025, a small but not insignificant share.



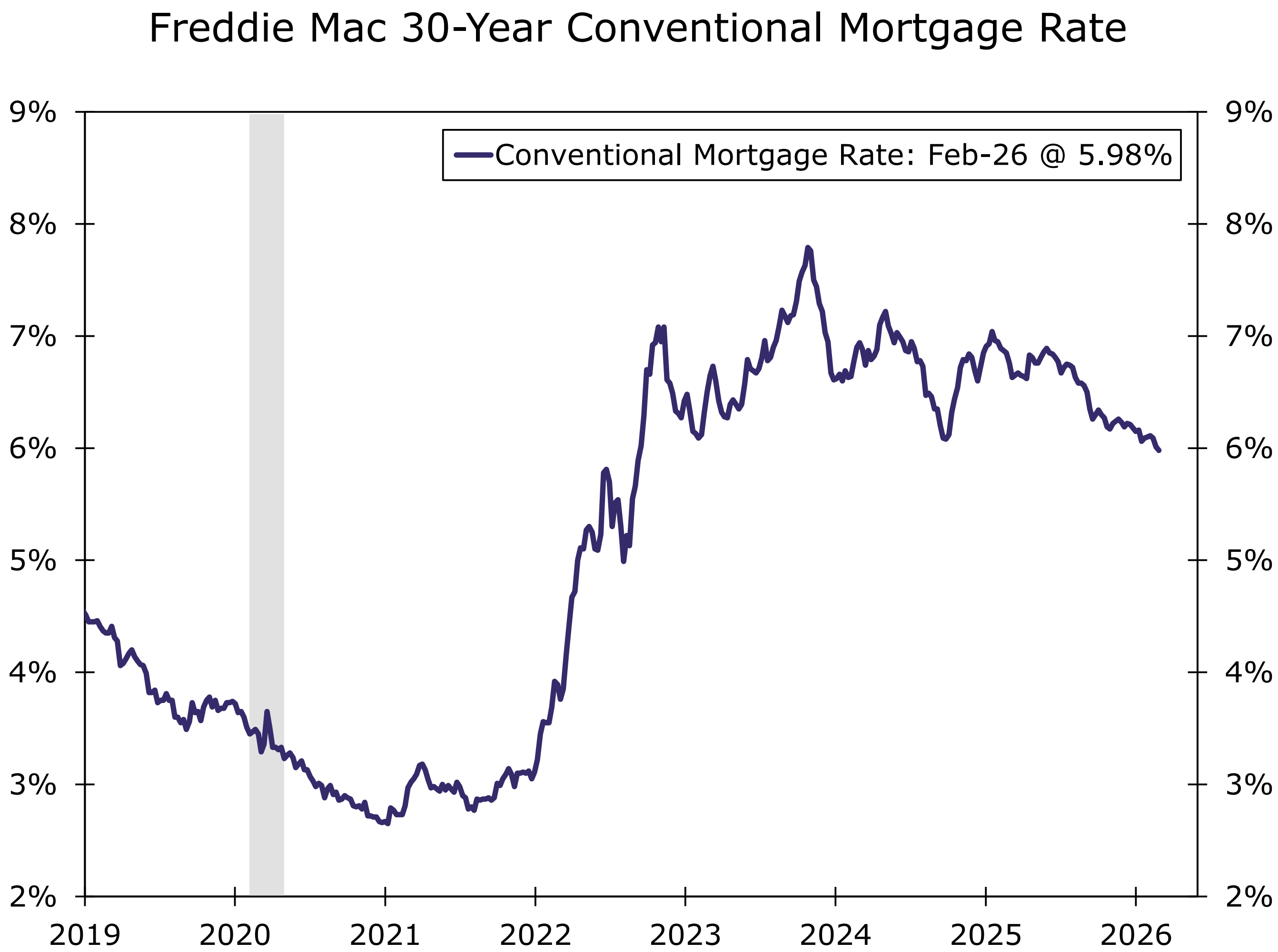
Source: Fannie Mae, Freddie Mac and Wells Fargo Economics



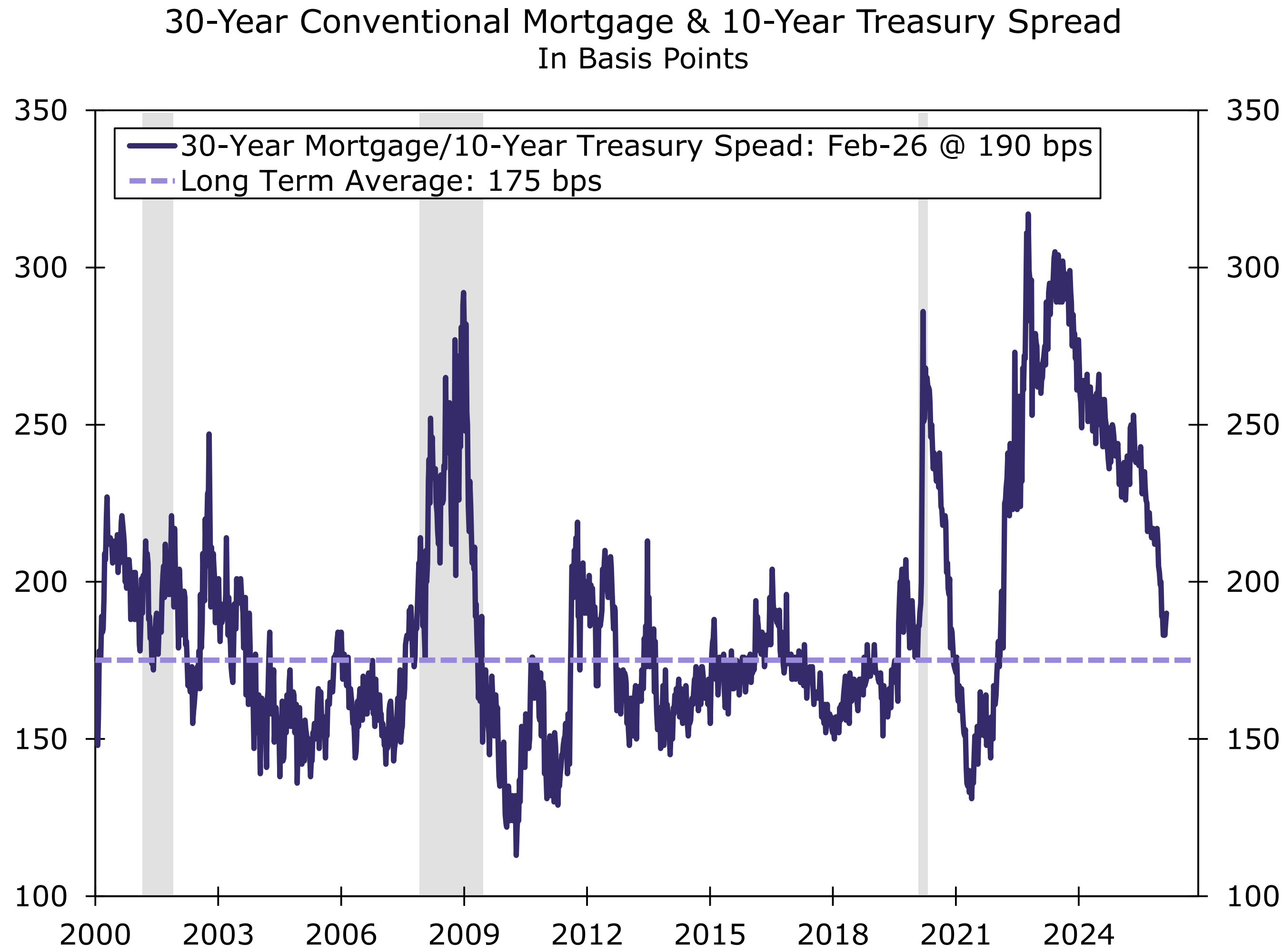
Source: Cotality and Wells Fargo Economics

Mortgage Rates

- Mortgage rates have declined by roughly 100 bps over the past year. According to Freddie Mac, the average 30-year fixed rate averaged 5.98% during the fourth week of February, down from 7.04% in January 2025.
- A narrowing mortgage spread has helped mortgage rates ease. The spread between the 30-year mortgage rate and 10-year treasury yield receded to roughly 190 bps as of Feb. 26, close to long-term historical averages and down from a peak of nearly 320 bps in October 2022.
- Mortgage rates likely do not have much additional room to fall, with still-elevated inflation and fiscal pressures exerting upward force. We forecast the 30-year fixed rate quarterly average will hover between 6.1% and 6.2% over the next two years.



Source: Freddie Mac and Wells Fargo Economics



Source: Freddie Mac and Wells Fargo Economics

Existing Home Sales

- The pace of resales remains tepid. Sales have averaged a 4.0 million-unit pace in the three months ending January, about 37% below the peak 6.5 million-unit pace hit in late 2022 and 23% below 2019's 5.3 million-unit average.
- Although still slow, the recent dip in mortgage rates does appear to be supporting a modest improvement in home sales. Resales experienced a weather-related drop in January but increased in three of the last four months of 2025.

Source: NAR and Wells Fargo Economics

Source: NAR and Wells Fargo Economics

Leading Indicators

- The recent uptrend in home sales was presaged by a steady increase in mortgage applications for purchase over the past year. That said, applications took a downward turn in February and are still running roughly 35% below pre-pandemic levels.
- Pending home sales edged lower in January after falling sharply in December. These back-to-back slips were likely the result of challenging winter weather conditions across much of the nation. Nevertheless, the index currently sits at its lowest level on record going back to 2001, which serves as a reminder that poor affordability conditions remain a constraint on home sales.

Source: MBA and Wells Fargo Economics

Source: NAR and Wells Fargo Economics

Existing Home Prices

- Home price growth remains soft on balance. The S&P Cotality Case-Shiller National Home Price Index was up only 1.3% year-over-year in December, a significantly more moderate pace than in recent years. That said, price appreciation looks to have picked up a bit of steam, with the headline index rising in each of the last five months of 2025.
- Pricing trends vary by region. According to the National Association of Realtors, median resale prices in the South and West are either declining or flat on an annual basis, coinciding with pronounced inventory growth in states like Florida and Texas. Meanwhile, price appreciation remains firmly positive in the more supply-constrained Midwest and Northeast.

Source: S&P Cotality and Wells Fargo Economics

Source: NAR and Wells Fargo Economics

Market Level Pricing Trends

- The disparity between regional price trends is apparent at the market level. Price appreciation is running at an above-average pace in Chicago, New York City and Cleveland, evidence that still-tight supply is exerting upward pressure. By contrast, Tampa, Denver, and Phoenix have registered declines over the past year.
- Zooming out, as of December 2025, 108 markets had experienced home price declines on a year-over-year basis, more than 25% of the metro areas and divisions tracked by Cotality. Annual price declines have not been this widespread since July 2012.

Source: S&P Cotality and Wells Fargo Economics

Source: Cotality and Wells Fargo Economics

Existing Home Inventory

- Resale inventory remains low in historical context. The 1.11M single-family homes for sale in January 2026 was 10.5% below the pre-pandemic level of 1.24 million in January 2020.
- Although listings are still climbing, the pace of expansion is slowing. Single-family resale inventory was up 7.8% year-to-year in January 2026, slower than the annual rate of 15.7% posted in the same month the prior year.
- The "lock-in" effect persists. The rate on outstanding mortgage debt remains about two percentage points below prevailing market rates, a disincentive for many homeowners to trade into a new mortgage. That said, the gap is gradually narrowing and supporting modest growth in new inventory.

Source: NAR and Wells Fargo Economics

Source: U.S. Department of Commerce, Freddie Mac and Wells Fargo Economics

New Home Sales

- Demand for new construction also appears to have benefited from the recent lull in mortgage rates. While down slightly in 2025 as a whole, the pace of new home sales accelerated in the last two months of the year. In December 2025, sales reached a 745K unit pace, equating to a 3.8% year-to-year gain.
- Builder incentives remain a key support factor. Nearly two-thirds of builders used incentives like price cuts or mortgage rate buy-downs in February, the seventh straight month that this ratio has met or exceeded 65%. Price cuts alone fell back somewhat in February but remained elevated at 36%.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: NAHB and Wells Fargo Economics

New Home Supply

- The recent acceleration in sales has led to a small 3.5% reduction in new home inventory over the past year. Still, there were 472K new homes for sale in December, near the highest since February 2008.
- In terms of months supply, new home inventory could sustain 7.6 months’ supply of sales in December, well above the 5.5-months' supply averaged between 2015 and 2019.
- New home inventory has eased somewhat in the key builder regions of the South and West, though supply is still elevated relative to pre-pandemic levels. Meanwhile, the Midwest and Northeast regions generally have seen inventory build over the past year.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

New Home Prices

- Soft demand, increased supply and higher prevalence of builder incentives are factors weighing on new home prices. The median new home price fell 2.0% year-over-year in December, continuing a trend decline that began in 2023.
- The median new home price is now roughly equivalent to the median existing price, a break from historical norms. The median sale price for a new single-family build was $414.4K in December vs. $409.5K for the median resale home.

Source: U.S. Department of Commerce and Wells Fargo

Source: U.S. Department of Commerce, NAR and Wells Fargo Economics

New Home Construction

- Single-family builders have scaled down production plans amid elevated inventory and lackluster demand. Although single-family permits stabilized in the second half of 2025, the number of permits filed in 2025 declined 7.6% from 2024.
- Home builder sentiment remains generally low despite the recent easing in mortgage rates. The NAHB Housing Market Index declined for two consecutive months in January and February, ending a three-month streak of gains at the end of 2025. Deteriorating buyer traffic and moderating sales expectations were key drivers of the reversal, suggesting that builders are pessimistic about the prospect of affordability conditions improving.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: NAHB and Wells Fargo Economics

Multifamily Construction

- The count of multifamily units under construction continues to normalize, an indication that the wave of development over the past several years is moving further from its peak.
- Disagreement between two major construction data sources clouds the current state of new multifamily development. Multifamily construction starts declined by each measure in Q4 2025. However, Census data continue to paint a more constructive picture while Costar is tracking a continued slide.
- Either way, we look for multifamily development to improve over the course of 2026 alongside easing monetary policy, thinning supply pipeline, and sturdy rental demand on account of affordability challenges.

Source: U.S. Department of Commerce, CoStar Inc. and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

Home Improvement Market

- The trend decline in NAHB's Remodeling Market Index indicates that home improvement activity has moved to a lower gear. A recent uptick in the headline index, however, suggests the headwinds of higher interest rates, construction labor scarcity, and sharp run-up in building material prices may be starting to fade.
- An upturn in building material retail sales in the final quarter of 2025 is a greenshoot. A slight pick-up in home sales, strong homeowner equity levels, and lower interest rates should help support residential remodeling ahead.

Source: NAHB and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

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All estimates/forecasts are as of 3/4/2026 unless otherwise stated. 3/4/2026 6:00:31 EST.

Required Disclosures

Economics

March 2, 2026

The Conflict with Iran: FAQ with the Team

Special Commentary

Economist(s)

Tom Porcelli

This is obviously a very fluid situation and as the facts on the ground evolve so too will the economic impact. As a framing, just bear in mind that, absent a prolonged war and major long-term disruptions to key shipping routes in the Strait of Hormuz, the impact on U.S. economic growth, inflation and monetary policy should remain modest. Of course, the opposite also could be true.

Our model simulations of 10% and 30% sustained increases in oil prices do not come close to generating a U.S. recession or markedly changing the trajectory for core inflation. Headline inflation does move higher via higher energy prices for the consumer, but the drag on real consumer spending and thus economic growth is muted in these scenarios (0.1-0.2 percentage points for the year).

Central banks typically look through oil-driven inflation shocks, and we expect this time to be similar. We expect the FOMC to take the long view, and the weekend's events probably will not have a major impact on the Federal Reserve's reaction function. Our forecast for 50 bps of rate cuts this year remains unchanged. Similarly, we are not making any changes to our G10 or EM central bank forecasts at this time. In the very near term, we expect central banks around the world to remain in wait-and-see mode as they await additional clarity on the geopolitical situation.

Below, the Team responds FAQ style to some of the most common questions we have received in the past 72 hours on this topic:

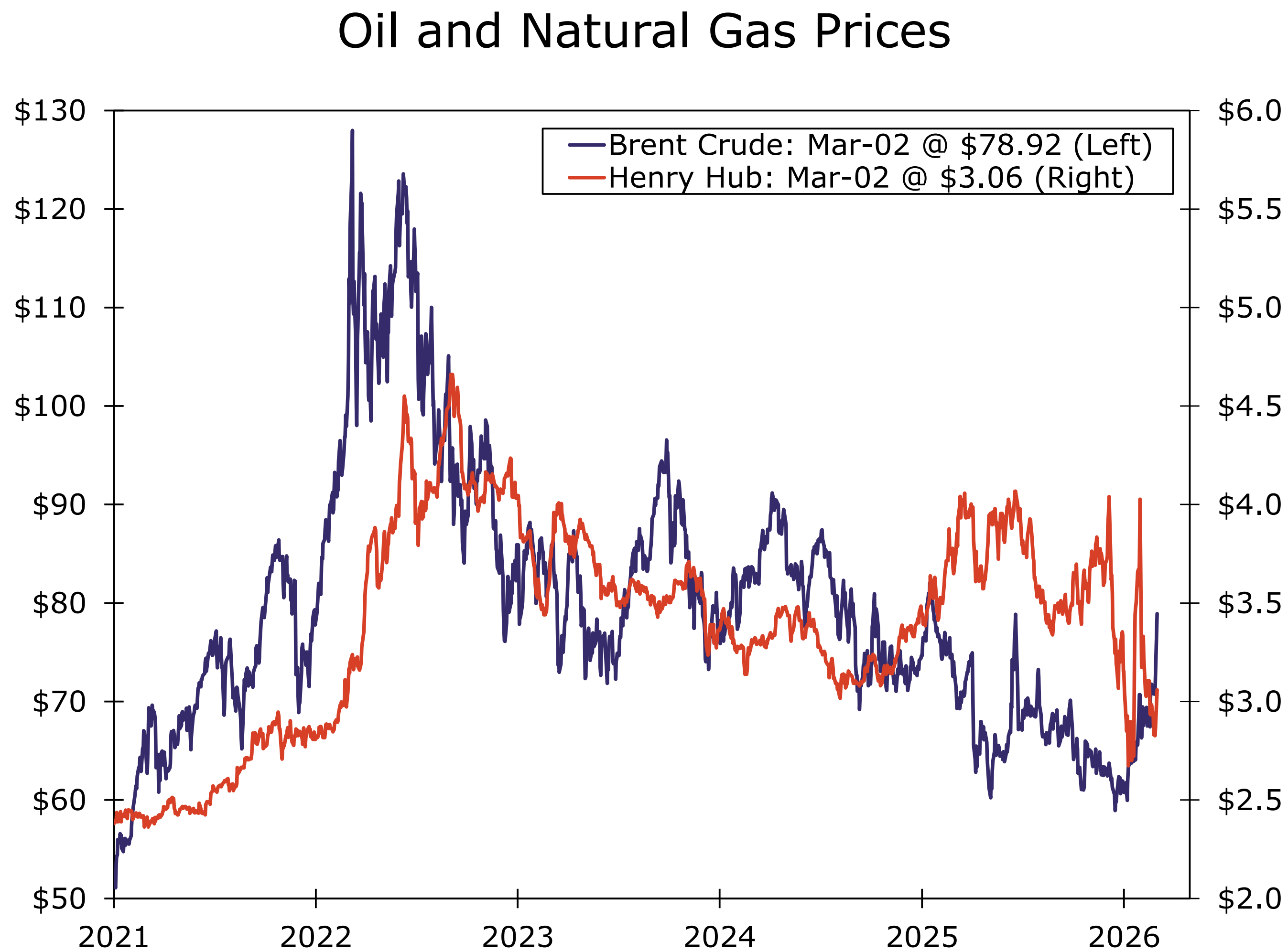
What happens to U.S. inflation in the wake of an oil-price shock?

- **Oil prices were already moving up over the past couple of weeks in anticipation of potential escalation**, but the price of Brent crude has risen $7 since the U.S. strikes, or about 14% above its February average. Henry Hub natural gas prices are also up 6% in the wake of the strikes (Figure 1). **Higher oil prices would need to persist to meaningfully impact the U.S. economy**, as a sharp spike followed by a rapid normalization would not have much of an impact.

- To assess the potential U.S. macro impact from the military escalation, we run two scenarios: (1) a sustained 10% rise in Brent oil prices from a baseline expectation of around $65/barrel on average in Q1, and (2) a larger, sustained 30% rise in oil prices, which is closer to the spike that occurred immediately following Russia's invasion of Ukraine in early 2022.

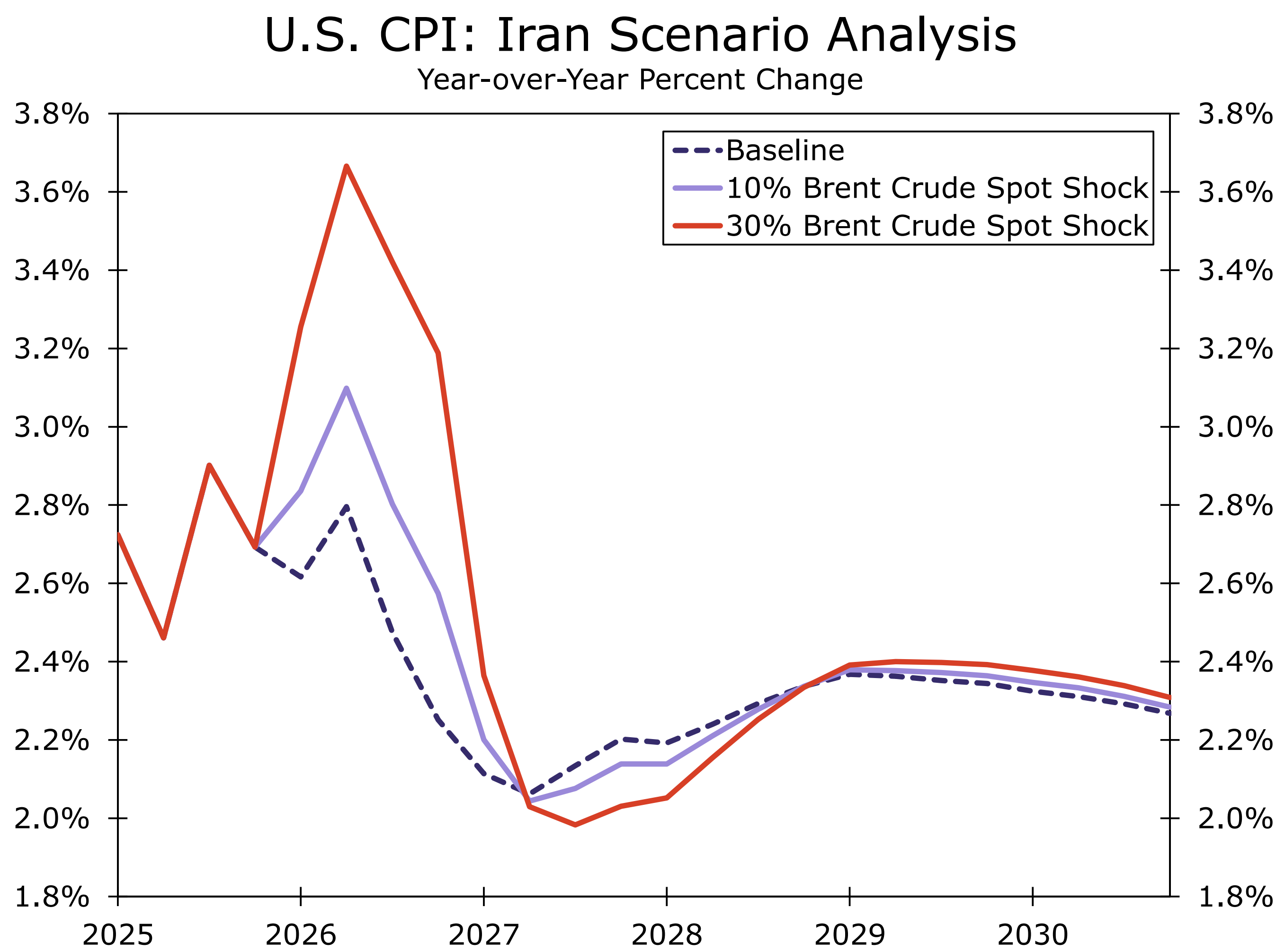
- **A 10% sustained rise in oil prices would add roughly 0.3 percentage point to the year-over-year rate of headline consumer price inflation in the second and third quarter of this year**, whereas a 30% rise would lift the one-year change closer to a full percentage point (Figure 2). The impact on core inflation would be much more modest (a few tenths with a 30% rise in oil prices) but not zero. This upward pressure on oil prices would reverse what has been one notable tailwind for disinflation and consumer spending over the past year; since last January, energy goods prices are down 7.3% compared to the 2.4% increase in headline CPI.

Figure 1



Source: Bloomberg Finance L.P. and Wells Fargo Economics

Figure 2



Source: Oxford Economics and Wells Fargo Economics

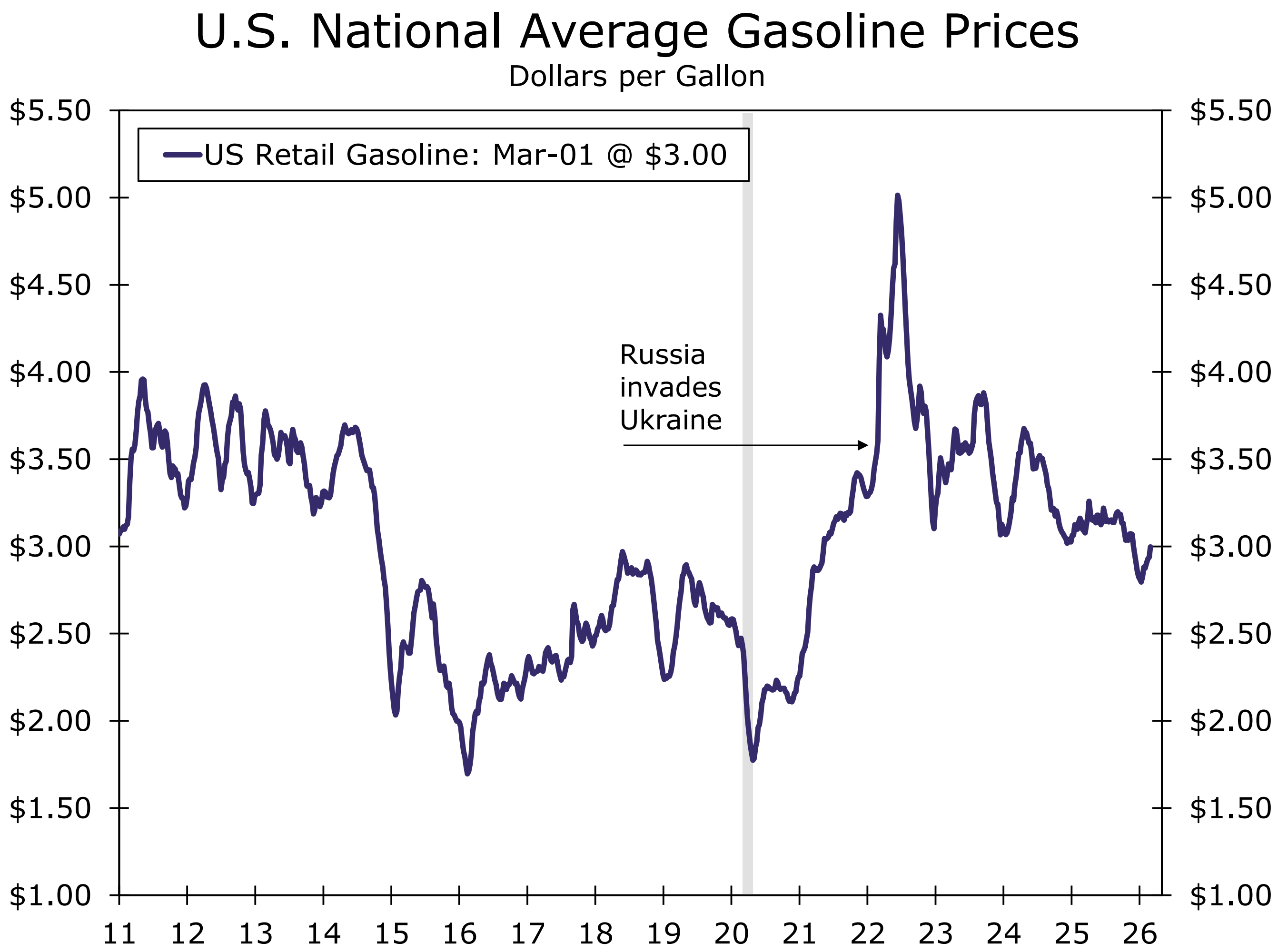
What does history say about consumer confidence sensitivity to energy spikes?

- **U.S. consumer confidence tends to correlate more strongly with jobs and inflation than foreign conflict headlines.** Of course, foreign conflict and inflation can also go hand in hand. That makes retail energy prices (mostly gasoline) the most important consideration for many households as it relates to this conflict. The average national price at the pump currently sits around $3/gallon. In the immediate wake of Russia's invasion of Ukraine in February 2022, the average price initially jumped and remained elevated for around four months before receding (Figure 3). **In the end, the fate of pump prices and the consumer's reaction function will be dictated largely by any prolonged disruptions in the Strait of Hormuz.**

How big of a hit could we expect an oil-price shock to have on U.S. economic growth?

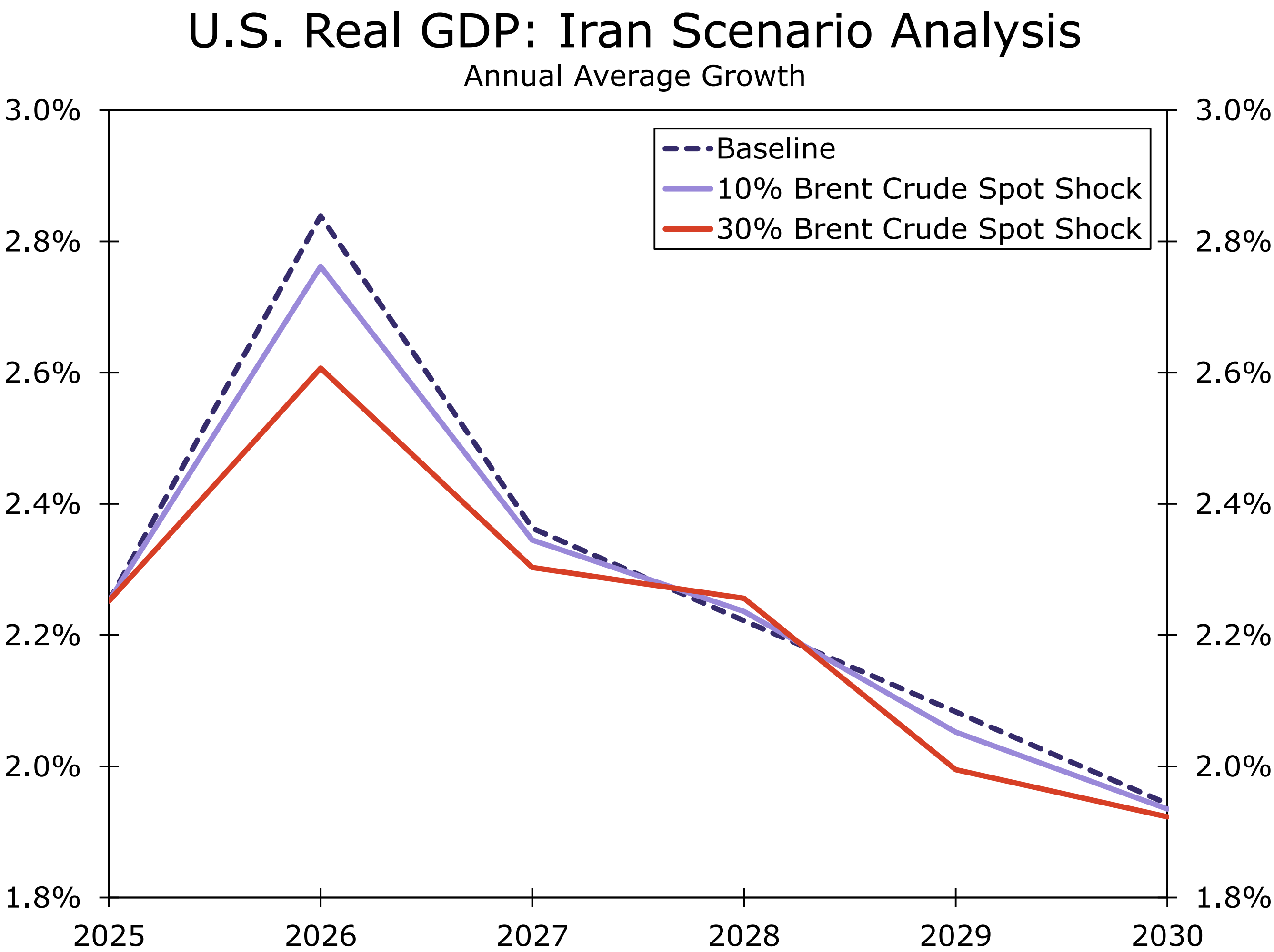
- **Our model simulations suggest a 10% rise in oil prices would dampen average annual U.S. GDP growth by a very modest 0.08 percentage points (pp) this year** (Figure 4), primarily through lower consumer spending with a 0.15pp reduction in real personal consumption expenditures growth. Business fixed investment spending actually rises modestly in this scenario, likely due to higher oil prices spurring some additional investment in domestic oil and gas production, which happened in the wake of Russia's invasion of Ukraine. Even in the 30% price-shock scenario, the hit to real GDP growth this year is only 0.23pp. **It takes very large and persistent gas price increases to meaningfully restrain household consumption.**

Figure 3



Source: AAA, Bloomberg Finance L.P., and Wells Fargo Economics

Figure 4



Source: Oxford Economics and Wells Fargo Economics

Will a surge in commodity prices slow the U.S. tech build out?

- **A temporary spike in oil and gas prices will pressure input costs but not meaningfully limit the pace of new data center construction.** Higher energy commodity prices will likely flow through to building material and freight costs, representing a modest headwind to new development. Operationally, data centers are increasingly powered by natural gas, and while higher global LNG prices could have modest short-run negative cost implications, we generally do not see increased energy prices as a major limitation on new construction.

- **The tech buildout relies on other trade routes.** The Straight of Hormuz is a key energy chokepoint, but high-tech trade flows are minimal with the Straight of Malacca serving as the primary passage for global electronics, advanced chips, critical minerals and other inputs predominantly sourced from Asia. For the U.S., tech shipments from Asia are straight-shotted to West Coast ports or routed through the Panama Canal. **So long as supply disruptions are contained to Hormuz, the negative effects on high-tech capex should be limited.**

How will the Fed react to the conflict?

- **The weekend's events probably will not have a major impact on the Federal Reserve's reaction function.** A jump in oil prices would generate higher headline inflation, but this would be driven by a supply shock rather than overly hot aggregate demand. Accordingly, tighter monetary policy would do little to mitigate the hotter inflation and instead would further compound the hit to economic growth. **In short, a supply-driven oil price shock is a classic example of something most FOMC officials will attempt to "look through."**

- Key will be the behavior of inflation expectations. The Fed will likely be sensitive to any notable deviations from what have been well-behaved inflation expectations. But again, any unanchoring here would stem from prolonged conflict and persistently higher energy prices. If higher prices in the short-run start to lead to higher expected inflation in the future, the inflationary shock can become more persistent. In 2021-2022, inflation expectations rose abruptly across a broad range of measures, causing the FOMC concern that the higher inflation of the time may not prove to be transitory (Figure 5).

Could more Fed easing be coming?

- **We doubt more easing will be forthcoming than our base case projection of 50 bps** (Figure 6). We expect the impact on the U.S. economy from the conflict to be modest, and we think the FOMC will take the long view on this rather than knee-jerk react in a foggy environment. While we suspect the FOMC will want to "look through" higher inflation from a jump in energy prices, they also may be wary about adopting accommodative monetary policy given the past five years (and counting) of above-target inflation. **In the very near term, we expect the FOMC to remain in wait-and-see mode as they seek additional clarity on the geopolitical situation.**

Figure 5

Source: Federal Reserve System, Bloomberg Finance L.P. and Wells Fargo Economics

Figure 6

Source: Federal Reserve Board and Wells Fargo Economics

How will foreign central banks respond?

- Under our assumption that renewed military confrontation in the Middle East proves to be a temporary shock, international central banks are unlikely to adjust monetary policy paths all too materially. Similar to how we are thinking about the Fed, foreign central bank policymakers are likely to view the rise in oil and broader energy prices as a supply shock rather than a sharp upswing in demand. In that sense, pre-conflict guidance on rates is likely to remain in effect, and **we are not making adjustments to our G10** (Figure 7) **nor EM** (Figure 8) **central bank policy rate forecasts**. At the same time, central banks will weigh the increase of geopolitical uncertainty on investor sentiment adding to existing downside risks to growth from trade and policy uncertainty. As such, **absent a more sustained disruption from the Middle East, we see greater asymmetry of global central banks to ease policy**.

- For advanced economy central banks where we forecast rate cuts prior to renewed conflict in the Middle East (e.g., Bank of Canada and Bank of England), our conviction in those calls is stronger, and we believe the balance of risk is now tilted toward more BoC and BoE easing than we currently forecast. Central banks where we felt the pre-conflict balance of risk was asymmetrically tilted toward restarting easing cycles (e.g., European Central Bank) may now have new rationale to lower rates. And in Japan, we already hold a less hawkish view on Bank of Japan rates than market pricing, a place we remain comfortable.

- **Emerging market economies are more exposed to events in the Middle East** and have more exposure to two-sided risks, but under the assumption of only temporary market disruptions, **we do not believe EM central bank preferences for rates are set to change**. Oil price shocks can be more impactful in EMs as energy tends to account for a greater share of CPI baskets relative to advanced economies. But if energy price rises are temporary, a transitory disruption to disinflation trends can also be shrugged off by EM policymakers. Also, and while not unique to EMs, local currency depreciation and the subsequent pass-through to prices is more of a risk in EMs. For now, EM currencies are under only modest pressure, which for us, is not enough to generate less dovish or more hawkish postures from major EM central banks. Even in a scenario where EM FX depreciation is more intense or longer-lasting, EM currencies have rallied over the past 12–18 months. Baked in currency strength offers central banks a degree of flexibility to maintain easing biases, or at least not rush to communicate rate hikes, going forward.

Figure 7

Source: Bloomberg Finance L.P. and Wells Fargo Economics

Figure 8

Source: Bloomberg Finance L.P. and Wells Fargo Economics

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Economics

February 27, 2026

February Employment Preview: Back to Payroll Reality

Special Commentary

Economist(s)


Tom Porcelli


Sarah House


Michael Pugliese


Nicole Cervi

Summary

- We expect the February employment report to show that January’s robust pace of job growth overstated underlying momentum in the labor market. We look for nonfarm payrolls to rise 45K in February, moderating from its current three-month average pace of 73K (Figure 1). While some stabilization in labor demand is evident, a range of indicators, including JOLTS and consumers' perception of job availability, continue to point to a gradual loosening in labor market conditions rather than a renewed acceleration in hiring (Figure 2).

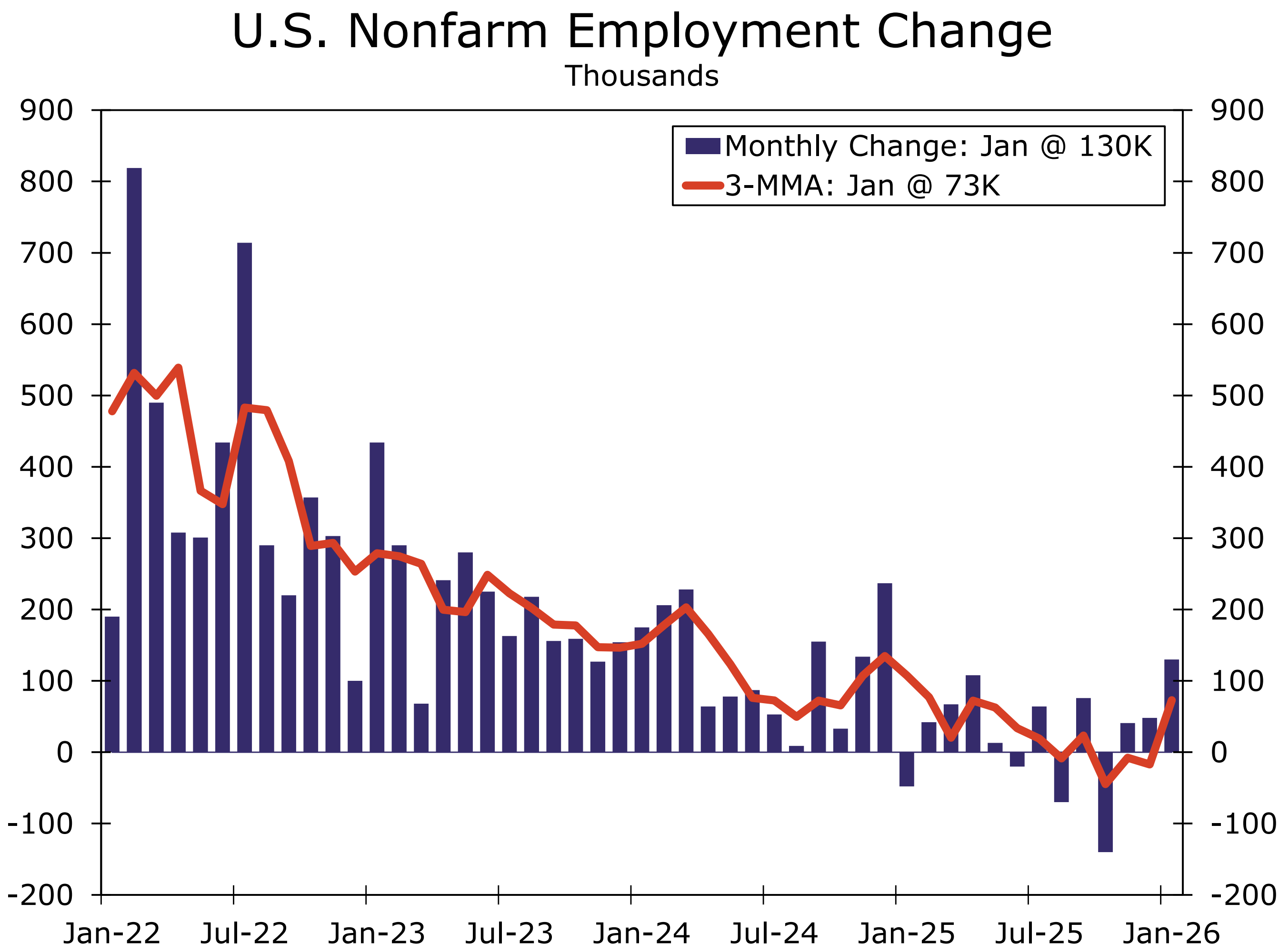
- Looking across industries, last month's outsized gain in healthcare & social assistance is unlikely to be repeated (Figure 3). We expect either a downward revision to January and/or some payback with a sub-trend reading in February for this sector. Although recent winter storms largely missed the payroll survey weeks, poor conditions throughout the month likely restrained hiring activity in weather-sensitive sectors, such as leisure & hospitality and construction. By contrast, federal government job cuts should be starting to lose steam, which should help to lessen the drag on employment from the public sector. Netting out our expectation for a roughly 10K decline in government employment, we look for private sector payrolls to rise 55K in February.

- The upcoming jobs report will incorporate the delayed annual population control to the household survey. The adjustment will revise the civilian non-institutional population in January 2026 to better align with the latest Census Bureau estimates. Historical data prior to 2026 will not be revised, leading to a step-change in the January levels. Accordingly, the *levels* of employment, unemployment, the labor force, etc. will not be directly comparable on a year-ago basis. *Ratios* such as the unemployment rate and labor force participation rate should be less impacted, although they too may not be entirely immune if the adjustments reveal a meaningful change in the composition of the population.

- We look for the unemployment rate to hold at 4.3% in February, but we would hasten to add there are a number of cross currents this month that generate quite a lot of two-sided risk. The population control adjustments pose some downside risk, in our view, given the immigration shifts we have seen this year (Figure 4). At the same time, the household survey's measure of employment growth has been running well ahead of its trend the past two months, leaving some scope for payback in February that could push the jobless rate up to 4.4%. But in the end, we think these cross currents will net out to keep the u-rate steady.

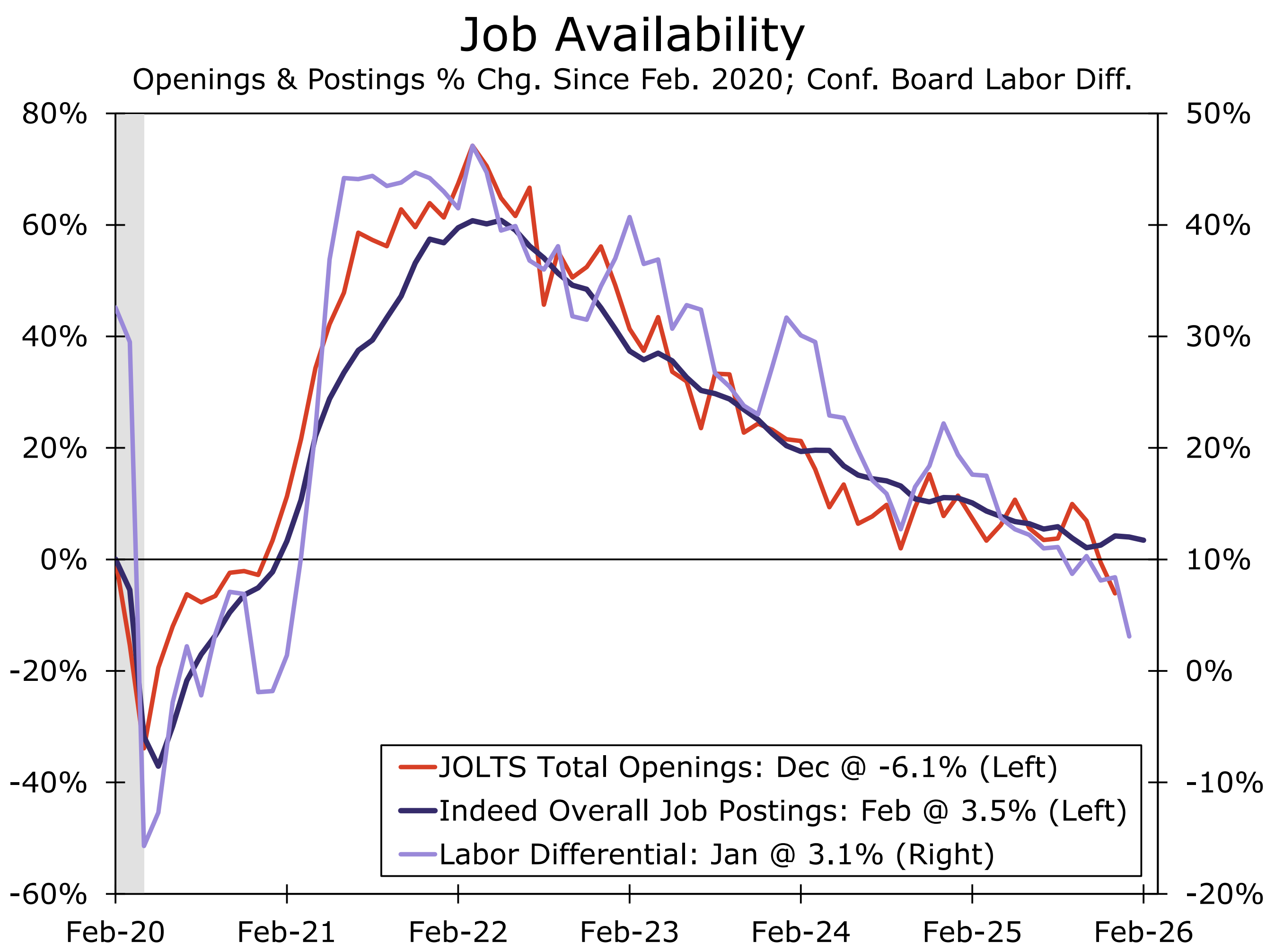
- After a stronger-than-expected gain in January, we expect average hourly earnings growth to return to a trend-like increase of 0.3% month-over-month in February. If realized, AHE would hold steady at 3.7% year-over-year.

Figure 1



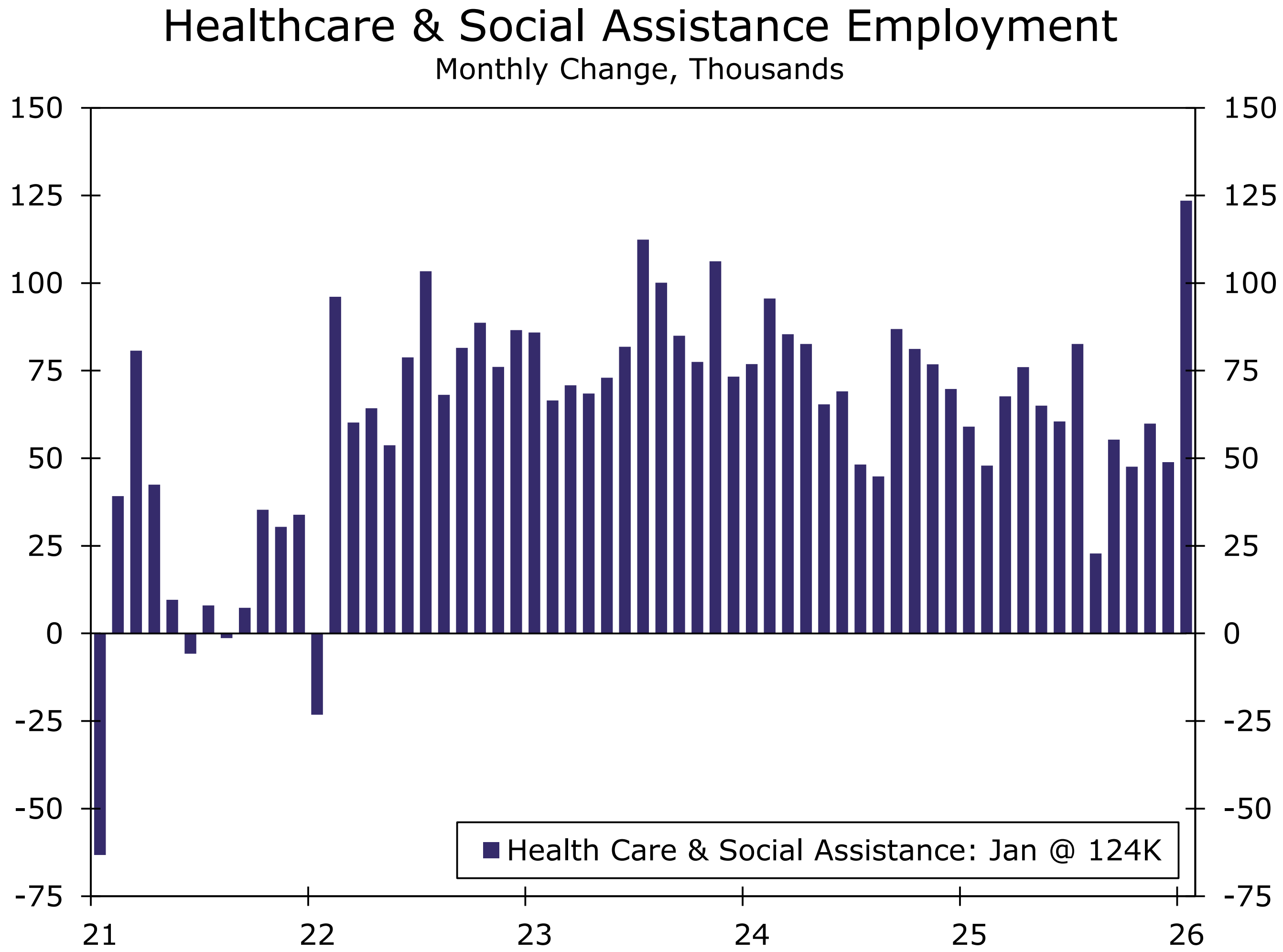
Source: U.S. Department of Labor and Wells Fargo Economics

Figure 2



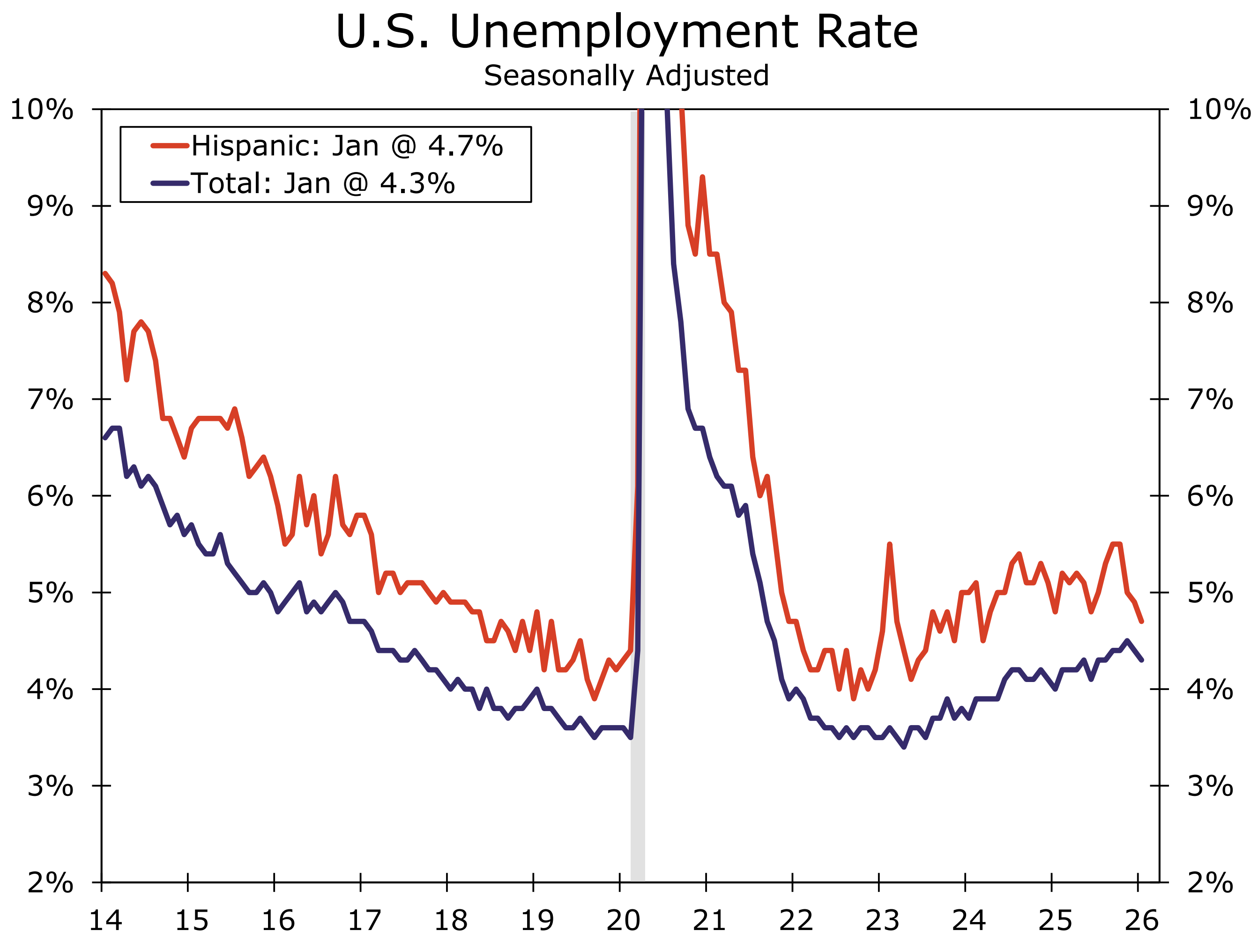
Source: U.S. Department of Labor, Indeed Inc., the Conference Board and Wells Fargo Economics

Figure 3



Source: U.S. Department of Labor and Wells Fargo Economics

Figure 4



Source: U.S. Department of Labor and Wells Fargo Economics

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Economics

February 20, 2026

What The Supreme Court Ruling Means for Tariffs...and What It Doesn't

Special Commentary

Economist(s)

Shannon Grein

Tim Quinlan

Summary

- As expected, the Supreme Court struck down the president's authority to levy tariffs under the International Emergency Economic Powers Act (IEEPA). President Trump was quick to announce new tariffs. The bottom line is **these actions did not deliver complete relief to affected importers, but it did ease their burden even if refunds will take awhile**.

- **The ruling invalidates the legal basis for IEEPA tariffs, but it does not trigger automatic refunds**. Importers must pursue refunds individually through established claims processes.

- **Potential refunds are large, but unlikely to be fully realized**. Roughly $264B in tariff revenue was collected last year, and we estimate about half—around $130B—was collected under IEEPA. The true total may be somewhat higher once January–February collections are included, but refunds will be handled case by case, meaning not all IEEPA tariff revenue is likely to be returned.

- **Any refunds will arrive gradually**. Payments are expected to trickle in over months, if not years, and should be delivered directly to the importers who originally paid the tariffs.

- The administration retains the ability to re-impose tariffs, but **nothing grants the President the same broad power with immediate effect as IEEPA would have**.

- **President Trump announced a 10% global tariff under Section 122 of the Trade Act of 1974 "effective immediately"**. He also announced starting Section 301 investigations.
    - *Section 122, Trade Act of 1974*: President can impose tariffs up to 15% for 150 days to address balance-of-payments issues. Tariffs can be extended indefinitely with Congressional approval. No federal investigation required.
    - *Section 301, Trade Act of 1974:* U.S. Trade Representative can impose tariffs for four years, under the President's direction, if it finds unjustifiable, unreasonable or discriminatory action against U.S. businesses and/or a violation of trade agreements. Tariffs may be imposed indefinitely, if continuation is requested and extended every four years.

- This action keeps the 10% baseline global tariff effectively active, but lowers the higher IEEPA tariff burden for countries exposed to 'reciprocal' tariffs under IEEPA. T**hese actions result in a lower total tariff burden**. We estimate the average U.S. effective tariff rate is now around 13% in the wake of today's actions, rather than the ~16% based on policy as of yesterday.

- **Tariffs weighed on U.S. goods imports last year** as firms were cautious about committing to foreign sourcing amid unsettled and frequently changing tariff policy. Some shifts in trade flows signal some rejiggering of sourcing, though permanent effects may be overstated thus far.

The Court Ruling is Something Short of a Complete Policy Reset

The Supreme Court's decision to strike down the administration's broad-based tariffs imposed under the International Emergency Economic Powers Act (IEEPA) marks a meaningful legal turning point, but not a clean policy reset. The ruling invalidates reciprocal and fentanyl-related tariffs enacted under IEEPA, opens the door for importers to seek refunds potentially totaling around $130 billion, and sharply curtails the president's authority to impose sweeping tariffs without involvement.

What the decision does not do is remove tariffs from the trade policy landscape. Alternative statutory paths remain available to the administration, while none confer the same breadth or immediacy as IEEPA. In fact, President Trump announced today that all existing Section 232 and 301 tariffs remain in effect, and a 10% global tariff takes effect immediately under Section 122. He also announced the start of Section 301 investigations.

Navigating the Detour: Trade Flows in a Still-Tariffed World

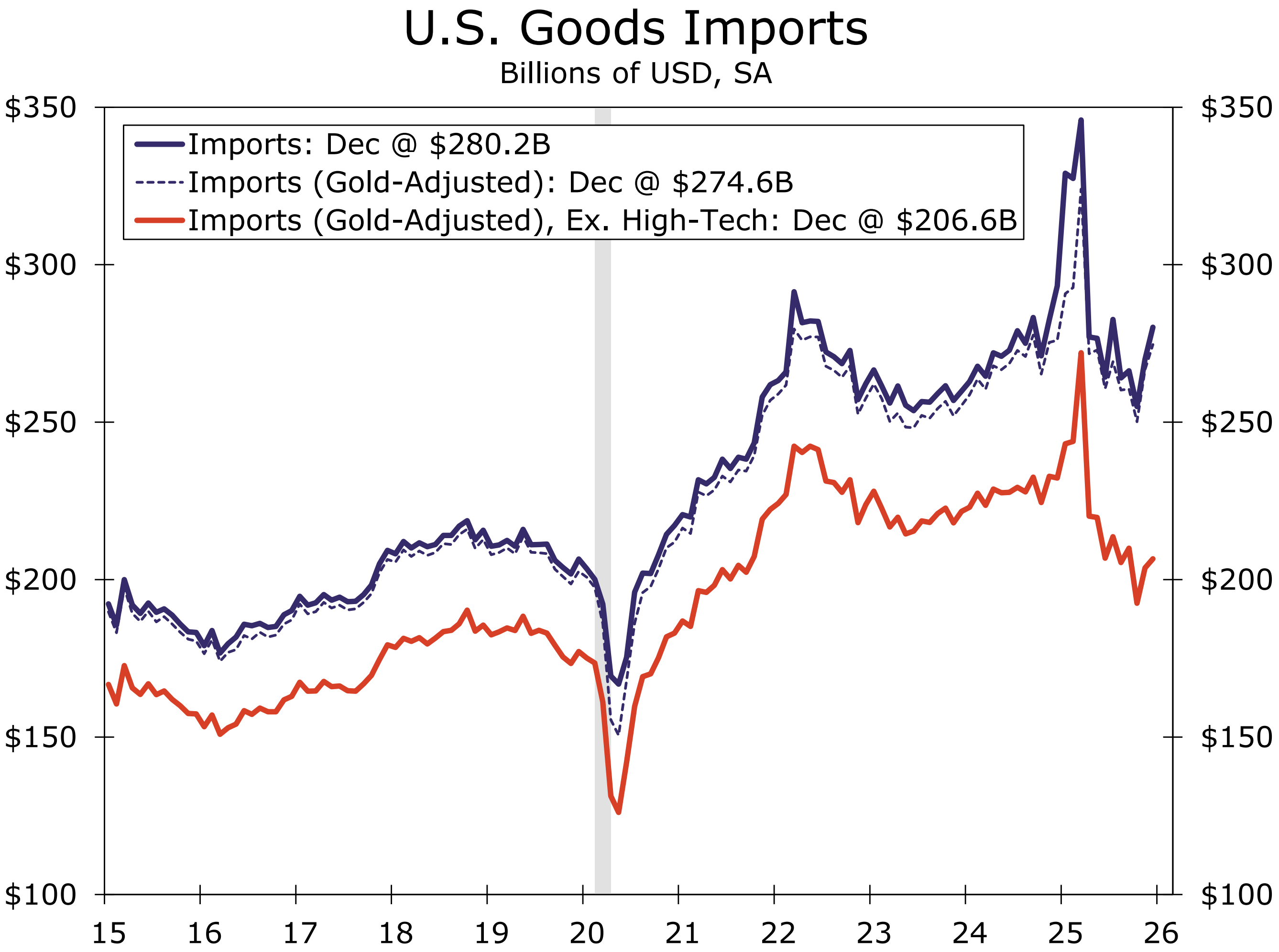
The experience of U.S. importers over the past year makes clear that tariffs constrained trade less by raising costs outright than by injecting persistent uncertainty into sourcing decisions.

The U.S. collected nearly $265 billion in tariff revenue last year, more than three times the amount collected in 2024. Measured against total imports that means the realized average effective tariff rate rose to roughly 8% last year, up from just under 3% the year prior. With a full year of data now available, the key question is how this dramatic increase in tariffs ultimately affected U.S. import behavior.

At first glance, the answer appears counterintuitive. Total goods imports increased last year, rising 4.3% above 2024 levels. But, that top line figure obscures important underlying weakness. Once gold-related categories are excluded, the annual gain in goods imports is cut roughly in half, suggesting the headline strength overstates the true momentum in import growth.

A closer look reveals that import growth was highly concentrated in a narrow set of categories, particularly high-tech goods. Imports of computers, computer accessories, communications equipment, and semiconductors surged 35% over the year, consistent with other indicators showing businesses prioritizing investment in all things tech being viewed as critical to future competitiveness. While these categories were not the only contributors to import growth, they were decisive. Excluding them entirely, goods imports *fell* 3.6% last year (Figure 1). The lag in underlying imports suggests firms were cautious about committing to foreign sourcing amid unsettled and frequently changing tariff policy.

Figure 1



Source: U.S. Department of Commerce and Wells Fargo Economics

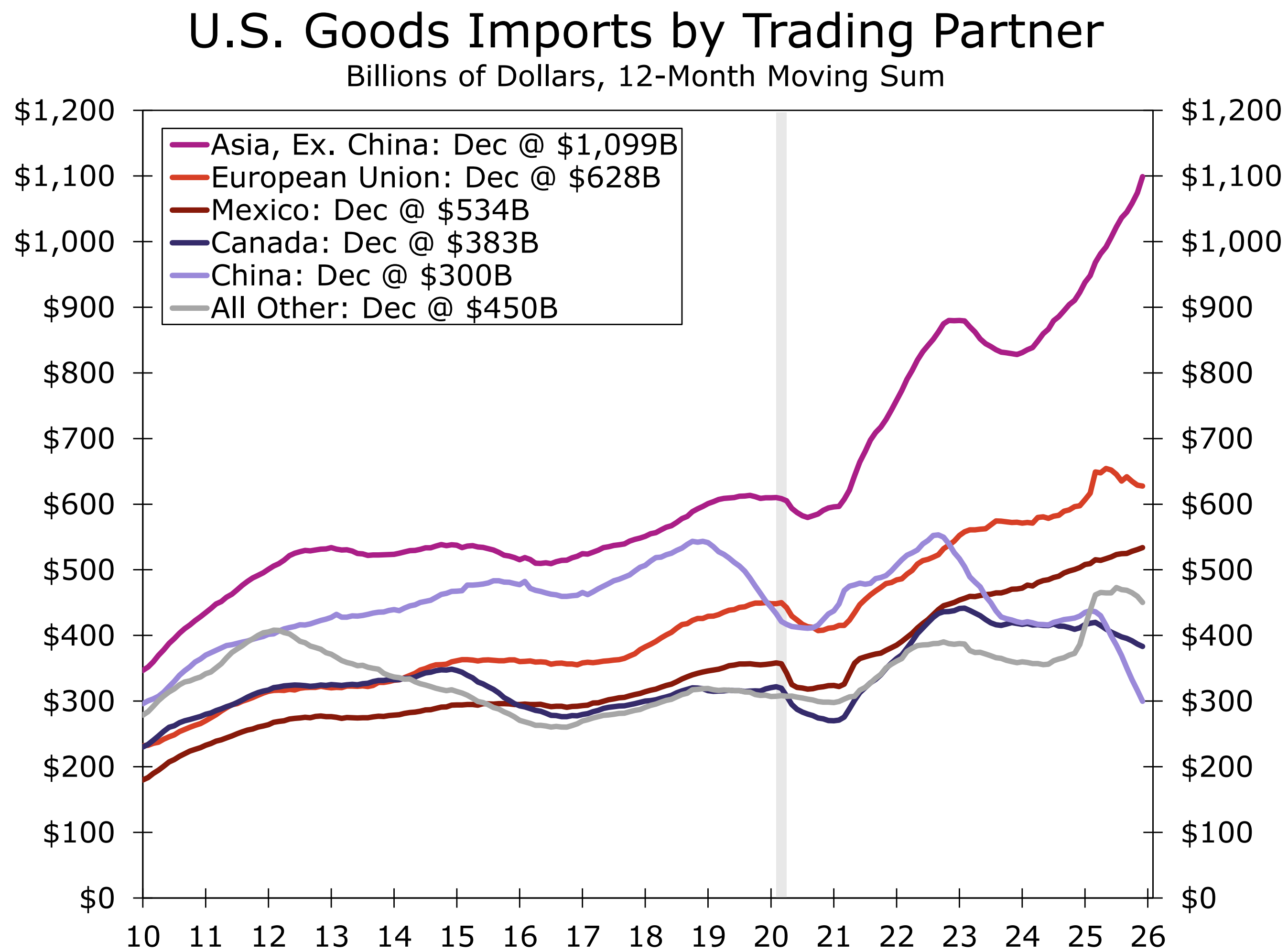
Supply Chains in Motion: Structural Shift or Tactical Workaround?

Tariffs also coincided with notable shifts in the geographic composition of U.S. imports. As shown in Figure 2, imports from China declined sharply, while shipments from other Asian economies increased. Figure 3 highlights the countries that gained—and lost—share of U.S. imports over the year. In particular, Taiwan, Vietnam and Thailand more than offset the decline in imports from China, at least in aggregate terms.

Whether this pattern reflects a genuine reorientation of global supply chains or merely a rerouting of trade flows is difficult to determine with certainty; it could well be a little of both. Source country does not necessarily imply source product either, and there is precedent for firms adjusting final assembly locations to mitigate tariff exposure. Following the first U.S.–China trade war in 2017–2019, for example, Chinese firms established or expanded production facilities in Southeast Asia, blurring the distinction between diversification and transshipment. The current data likely reflect some combination of both dynamics.

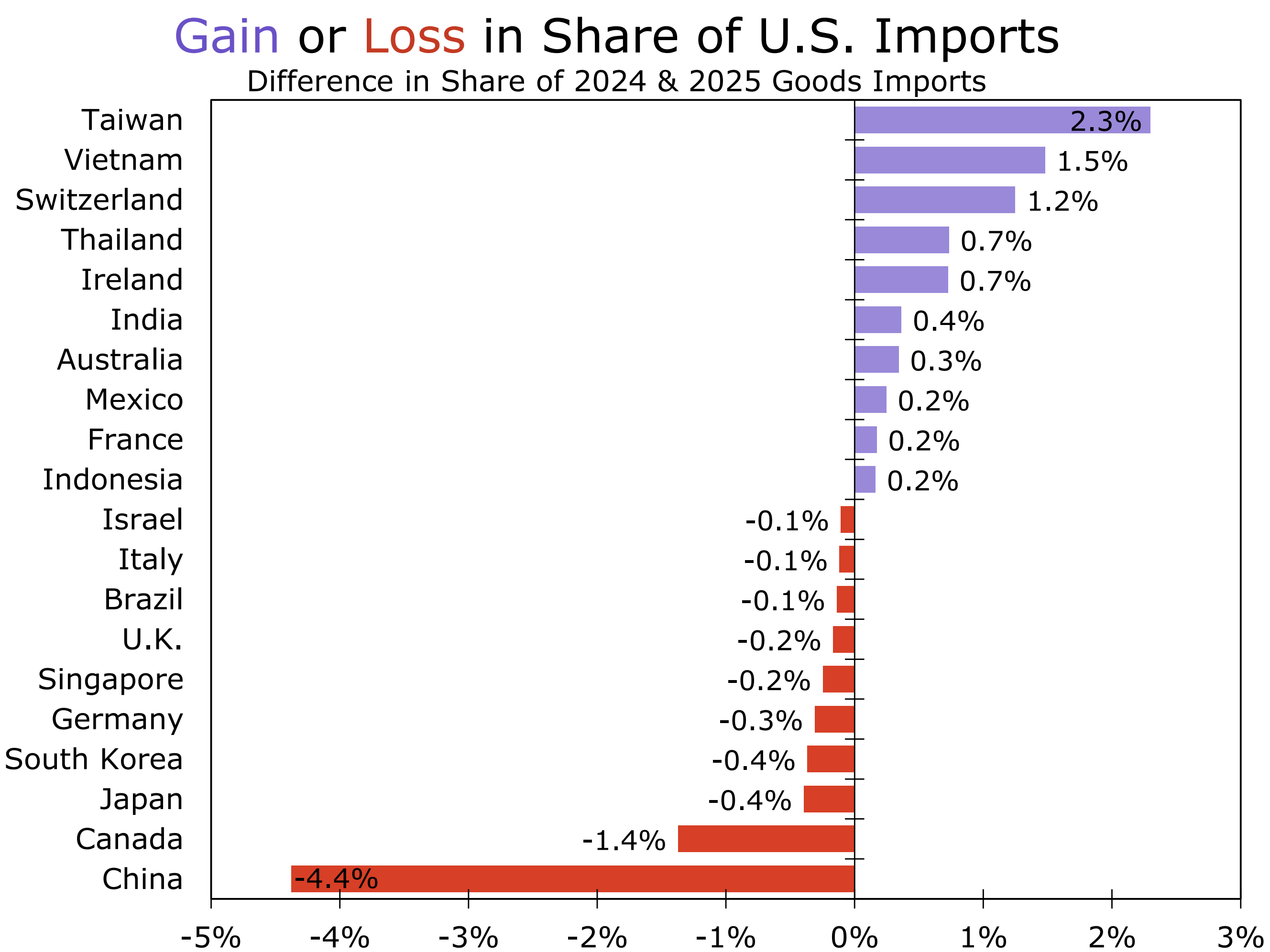
Not all country-level shifts appear structural. Some look temporary and category-specific. Imports from Switzerland, for instance, were driven largely by a surge in gold-related inflows, while imports from Ireland were boosted by pharmaceutical products—a category in which Ireland accounts for roughly 40% of total U.S. imports. In both cases, demand appears to have been at least partially pulled forward ahead of potential tariff changes, and both series are historically volatile.

Figure 2



Source: U.S. Department of Commerce and Wells Fargo Economics

Figure 3



Source: U.S. Department of Commerce and Wells Fargo Economics

Cautious Adjustment, Not a Clean Break

Taken together, the data suggest that businesses are indeed reassessing supply chains in response to historically high tariffs—but the adjustment process remains incomplete. Rather than a wholesale retreat from global sourcing, the pattern so far is one of caution, selectivity and timing shifts. We repeatedly hear this anecdotally in our discussions with banking clients that source materials from overseas. Firms are willing to import when the strategic value is high, but understandably reluctant to expand exposure broadly amid policy uncertainty.

With underlying imports suppressed by hesitation rather than capacity constraints, goods imports may be ripe for a rebound in coming months, even despite tariffs. Lean inventories require replenishment whether or not uncertainty persists. Headline import growth is likely to remain a poor guide to the true state of trade, masking weakness beneath a narrow set of resilient—and strategically important—categories. The Supreme Court ruling doesn't reset trade policy, and President Trump's swift actions signal tariffs are here to stay even if they are adjusted in coming months.

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Economics

February 9, 2026

January CPI Preview: Shutdown Quirks Fade, Seasonal Issues Reemerge

Special Commentary

Economist(s)

 Sarah House

 Michael Pugliese

 Nicole Cervi

Summary

- We expect a *somewhat* cleaner read on price growth from the January CPI report as the ripple effects from last fall's record-long government shutdown fade. The report has been delayed by the most recent government shutdown, but the brief closure did not affect data collection. With the BLS able to collect and process data as usual in each of the past two months, January's monthly change in prices should be largely free from shutdown-related quirks.

- New seasonal adjustment factors will be incorporated with this release and leave the past five years' data subject to revision. We expect that the updated seasonal factors will still to struggle to fully account for early-year price hikes. Last January's jump in prices should lead the new seasonal factors to “expect” a bit more strength the first month of this year, but we are concerned that the pandemic period is still causing seasonal distortions in the data.

- We expect the core index to increase 0.33% in January compared to an average increase of 0.22% the prior 12 months. A solid rise in January is unlikely to be entirely a statistical mirage. Rather, we believe it will reflect some delayed pass-through of tariff costs to consumers as suppliers renegotiate contracts, businesses restock inventory and companies test pricing power. We look for core goods prices to rise 0.33%. Used vehicles should underpin the pickup, but we also look for broad strength outside vehicles that would leave the core goods index up 1.4% year-over-year.

- Core services prices also have been prone to pop in January, but we look for a 0.33% increase that would be only moderately above the recent pace. Market-based rents are still pointing to primary shelter receding on trend, and travel-related prices have less scope to jump after a big rebound in December. While price growth among remaining "other" services is likely to pick up in January, we expect the increase to be tempered by outright declines in health and motor vehicle insurance prices.

- On a headline basis, we look for headline CPI to rise a more modest 0.25% in January. The unwinding of shutdown-quirks alongside cooler food-related commodities should lead to softer food inflation. Lower gasoline prices should also temper the headline gain. That said, we expect another solid increase in energy services. Natural gas prices, which typically lead piped gas services by about a month, had already risen ahead of Winter Storm Fern, while growing electricity demand and the need to upgrade aging infrastructure are leading to rate hikes for consumers this year.

- The softer monthly increase in headline CPI should pull the year-over-year rate to 2.4% in January from 2.7% in December. Core inflation should also edge down on a year-over-year basis, landing at nearly a five-year low of 2.5%. We do not expect the CPI to cool much further over the course of 2026, however. The unwinding of a lingering shutdown-quirk in shelter will boost both headline and core inflation in April. That bump is likely to occur alongside a still-solid demand backdrop, as easier fiscal and monetary policy are poised to counteract the drag from the struggling labor market.

January 2026 Forecast				
	Month-over-Month % Change		Year-over-Year % Change	
	Forecast	*Prior*	*Forecast*	*Prior*
Seasonally Adjusted	**Jan.**	**Dec.**	**Jan.**	**Dec.**
CPI (Consensus)	0.30	0.30	2.5	2.7
CPI (WF Estimate)	0.25	0.31	2.4	2.7
Food	0.22	0.71	2.9	3.1
Food at Home	0.25	0.72	2.2	2.4
Food Away from Home	0.18	0.69	4.0	4.1
Energy	-0.63	0.30	0.3	2.0
Energy Goods	-2.10	-0.39	-6.9	-3.0
Energy Services	0.80	0.98	8.1	7.5
Core CPI (Consensus)	0.30	0.30	2.5	2.7
Core CPI (WF Estimate)	0.33	0.24	2.5	2.6
Goods	0.33	0.00	1.4	1.4
Vehicles	0.39	-0.39	0.4	0.8
Other Goods	0.29	0.23	2.2	1.8
Services	0.33	0.29	2.9	3.0
Primary Shelter	0.28	0.30	3.2	3.3
"Super Core"**	0.41	0.55	2.5	2.9
Not Seasonally Adjusted	**Index**	**MoM (%)**	**YoY (%)**	
CPI (Consensus)	325.539	0.42	—	
CPI (WF Estimate)	325.408	0.42	2.4	

Forecast as of: February 09, 2026; Bloomberg Consensus

**Core services CPI excluding rent of primary residence and owners' equivalent rent (i.e., excluding "Primary Shelter")

Source: U.S. Department of Labor, Bloomberg Finance L.P. and Wells Fargo Economics

Wells Fargo U.S. Inflation Forecast												
	Actual				Forecast							
	2025				2026				2027			
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q
CPI (YoY)	2.7	2.5	2.9	2.7	2.6	2.8	2.7	2.7	2.5	2.3	2.3	2.3
QoQ Annualized	3.8	1.6	3.1	2.3	3.1	2.8	2.4	2.3	2.3	2.3	2.2	2.2
Core CPI (YoY)	3.1	2.8	3.1	2.7	2.6	2.8	2.5	2.6	2.4	2.3	2.3	2.3
QoQ Annualized	3.5	2.1	3.3	1.8	3.1	2.8	2.3	2.3	2.3	2.3	2.2	2.2
PCE Deflator (YoY)	2.6	2.4	2.7	2.8	2.8	2.9	2.7	2.6	2.3	2.2	2.1	2.1
QoQ Annualized	3.4	2.1	2.8	2.8	3.3	2.6	2.2	2.1	2.2	2.1	2.1	2.0
Core PCE Deflator (YoY)	2.8	2.7	2.9	2.8	2.9	2.9	2.7	2.60	2.3	2.2	2.2	2.2
QoQ Annualized	3.3	2.6	2.9	2.6	3.4	2.6	2.2	2.2	2.2	2.2	2.1	2.1

Forecast as of: February 9, 2026
Note: All numbers are percent change.

Source: U.S. Department of Labor and Wells Fargo Economics

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